NIBE Ltd

Concall Tracker | Prepared 11 July 2026 | Screener ticker: NIBE | Pune-based defence, aerospace & EV component maker

No concall transcripts were available on Screener — NIBE does not host earnings-call transcripts there. This report is based on a **global web deep-dive** (results coverage, order-win announcements, filings and the company website), plus the financial snapshot tables from Screener. The "promised-vs-delivered" read is therefore **limited**: we can check what management delivered in the numbers, but we cannot compare it line-by-line against call-by-call promises.

1. Snapshot

What the business does: NIBE makes critical parts for the **defence** world — the metal structures and sub-assemblies of mobile rocket/weapon launchers, naval and armour parts, and electrical/electronic box assemblies. It also assembles **electric vehicles** (e-cycles, e-scooters, e-rickshaws and their motors) and does a little software work. Defence fabrication is the main money-maker. The company started years ago in textiles/engineering and has re-invented itself as a defence supplier.

Number (latest)	Value	What it means in plain words
Market value of the company	~₹2,450 Cr	What the stock market says the whole business is worth today (it has slipped toward ~₹2,180 Cr on recent prints).
Share price	₹1,608	One-year range ₹810–₹1,850; the stock is down roughly a fifth over the past year.
Price-to-earnings (P/E)	143×	You pay ₹143 for every ₹1 of yearly profit — an **extremely expensive** price that only makes sense if profits grow very fast.
Sales, year to Mar-2026	~₹417 Cr	Total sales for the year — **down about 13%** from ₹481 Cr the year before. Growth stalled after years of rapid expansion.
Net profit, year to Mar-2026	~₹17 Cr	What was left after all costs — **down from ₹27 Cr** a year earlier. Profit shrank even more than sales.
Operating margin (OPM)	~13%	Out of every ₹100 of sales, ₹13 is operating profit before interest, tax and wear-and-tear — thin for a company priced this richly.
Return on capital (ROCE)	10.9%	The business earns about ₹11 a year on every ₹100 of capital put to work — modest, and barely above its rising borrowing cost.
Return on equity (ROE)	5.9%	Profit earned on shareholders' own money — low; the company is not yet using owners' capital productively.
Borrowings	~₹104 Cr	Debt has climbed from ₹66 Cr a year ago to fund factory expansion — interest bills are rising with it.

2. Concall coverage

NO-CONCALL PATH — global web deep-dive. No earnings-call transcripts are published on Screener for NIBE, so there is no multi-quarter management commentary to read. Coverage here rests on public sources:

- MarketsMojo Q2/Q3/Q4 FY26 result analyses (revenue, profit, margins, cash flow).

- Order-win announcements via India Infoline, Business Today, Business Upturn, Whalesbook (Indian Army ₹292.69 Cr; Israel OEM ₹150.6 Cr; armour plate ₹23.33 Cr).
- Company website (nibelimited.com), Screener snapshot tables, Tracxn/Tofler entity profiles.

Coverage is thin. Without transcripts we lose management's own words on guidance, order-book totals and margins — treat the consistency read as provisional.

Latest update highlights — Q4 FY26 (year ended Mar-2026)

- **A blow-out final quarter.** Q4 revenue was about ₹235–260 Cr, up roughly **3–4× versus the prior quarter** and up ~130% on the year — this one quarter carried the whole year.
- **Back to profit.** Q4 net profit was ~₹29–32 Cr, after **two straight quarterly losses** (about –₹8 Cr and –₹17 Cr in Q2 and Q3). Operating margin swung from –16% to +20% in a single quarter.
- **Big new orders are the story.** A **₹292.69 Cr Indian Army order** for rocket-launcher ground equipment (12-month delivery) and a **₹150.6 Cr export order** from an Israeli defence OEM for 300-km universal rocket launchers (delivery by Nov-2027).
- **But the cash is going out, not in.** Interest cost hit a record ~₹7.4 Cr in the quarter; full-year free cash flow was about **–₹118 Cr** as heavy factory spending outran what the business earned.
- **Tone (from the record, not a call):** promotional on order wins, but the numbers show a lumpy, execution-heavy business straining its balance sheet to grow.

Source: MarketsMojo Q4 FY26 analysis; order announcements (India Infoline, Business Today). No management call transcript available.

Business mix & capacity (quick glance):
• **Segments:** Defence fabrication is the core earner; electric-vehicle assembly (e-cycles, e-scooters, e-rickshaws, motors) and a little software make up the rest — the exact revenue split is **not broken out publicly**, so we don't guess a number.
• **Domestic vs export:** mostly India-focused (Indian Army orders), with a growing export leg via the Israeli OEM contract — a precise domestic/export % is **not disclosed**.
• **Capacity:** the company is **still building out** — roughly ₹120 Cr of capital spending in FY26 on new plant — so it is adding capacity rather than running near-full; a utilization figure is not disclosed.

3. Earning trigger thesis

The trigger: winning and delivering defence orders — especially rocket launchers

The thing meant to grow NIBE's earnings is a **rising pile of defence orders**, headlined by universal rocket-launcher work for the **Indian Army** (₹292.69 Cr) and for an **Israeli defence OEM** for export (₹150.6 Cr, 300-km range), plus smaller armour-plate supply. India's defence-manufacturing push and "make-in-India" export ambition give the theme a real, multi-year runway, and Q4 FY26 proved NIBE *can* convert a big order into a big revenue quarter. The catch: delivery is **lumpy**, the plants are still being built (heavy cash burn), and full-year sales actually **fell** in FY26.

Trigger	What the record says	Evidence so far	Time horizon	Strength
Indian Army rocket-launcher order (₹292.69 Cr)	Ground equipment/ accessories for a universal rocket launcher, 12-month execution	Named, sizeable, near-term; helped drive the huge Q4 FY26 quarter	Within ~1 year	**Moderate–Strong** — concrete and live, but revenue recognition is lumpy

Israeli OEM export order (₹150.6 Cr)	Universal rocket launchers, 300-km range, delivery by Nov-2027	Confirmed export win; validates NIBE as a global defence sub-supplier	Through FY27–28	**Moderate** — promising, but two years to deliver and unproven at scale
Capacity expansion	~₹120 Cr FY26 capex on new plant	Fixed assets up sharply; but free cash flow –₹118 Cr and debt rising	2–3 years to pay back	**Unproven** — could power growth or strain the balance sheet
Electric-vehicle assembly	e-cycles, e-scooters, e-rickshaws, motors	Little separate disclosure; not the earnings engine	Long/ uncertain	**Weak** — optional upside, not the core case

4. Management consistency scorecard

With no transcripts, this compares the **public promise implied by hyper-growth and order wins** against what the **numbers actually delivered**.

Period	What was implied / promised	What actually happened	Verdict
FY22 → FY25	Rapid scale-up as a defence supplier	Sales exploded from ₹21 Cr to ₹481 Cr; profit turned solidly positive	**Delivered**
FY26 (full year)	Growth to continue on the order book	Sales **fell ~13%** to ₹417 Cr; profit dropped to ₹17 Cr	**Missed**
Q2–Q3 FY26	Steady execution of orders	Two quarterly **losses** in a row (–₹8 Cr, –₹17 Cr); revenue cratered	**Missed**
Q4 FY26	Order book converts to revenue	Huge rebound: ~₹235–260 Cr sales, ~₹29–32 Cr profit	**Delivered**
Cash generation	Growth should eventually fund itself	Free cash flow **negative four years running** (–₹118 Cr in FY26)	**Too-early / Missed**

Narrative drift: the headline story — "we are a fast-growing defence order-winner" — has stayed **steady**, and new orders keep arriving. But the **delivery underneath is jerky**: a big-growth story that quietly turned into a down year with two loss-making quarters before a single rescue quarter. Promoter holding has drifted down slightly (from ~55% to ~52%), while foreign funds have stepped in. The consistency question is genuinely hard to judge without management commentary — hence a cautious read.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE

There **is** a real, concrete driver — named Indian Army and Israeli rocket-launcher orders in a supportive defence-manufacturing cycle — and Q4 FY26 showed NIBE can turn a big order into a big quarter. But it is **not yet playing out smoothly**: full-year sales fell, two quarters ran at a loss, and the growth is being bought with heavy debt and deep cash burn. Plausible and live, but unproven at a steady clip — a MAYBE, not a YES.

Management consistent? → MAYBE

The stated ambition has held steady and the order wins are real, so the story has not been abandoned. But FY26 delivered a **down year with two loss-making quarters** against a growth promise, cash flow has been negative for four straight years, and — critically — there are **no concall transcripts** to test promises against outcomes. Mixed record plus thin disclosure lands this at MAYBE.

Overall stance — CONCERN. A genuine defence-order trigger, but wrapped in an **extremely rich valuation (P/E ~143)**, **rising debt**, **four years of negative free cash flow** (–₹118 Cr in FY26), and **lumpy, loss-punctuated delivery**. The upside is real; so are the balance-sheet and execution red flags. Watch order execution and cash flow before trusting the story.

Prepared by the Concall Tracker skill · NO-CONCALL web-deep-dive path (no Screener transcripts available) · Sources: Screener.in snapshot tables; MarketsMojo Q2–Q4 FY26 analyses; India Infoline, Business Today, Business Upturn, Whalesbook order-win coverage; nibelimited.com. This is not investment advice — do your own due diligence.